MERCOSUR

If NAFTA is a trading arrangement among the North African countries, then MERCOSUR, is a trading bloc among the Latin American Countries. It came into existence with the conclusion of the Treaty of Asunción, 1991. This 1991 Treaty was amended and updated in 1994 by the Treaty of Ouro Preto. The member countries are Argentine, Brazil, Paraguay, Uruguay and Venezuela. The associate members are Bolivia, Chile, Colombia, Ecuador and Peru. This trading bloc also envisages free movement of goods, services, capital and people among the member countries. MERCOSUR is growing from strength to strength when compared to already existing regional arrangements like European Union, NAFTA and ASEAN.

India also aims at developing her economic relations with MERCOSUR. A Framework Agreement was signed between India and MERCOSUR in June 2003 at Asunción. There were twin objectives to the Agreement. Firstly, both countries would grant reciprocal tariff preferences and this will pave way for both to negotiate for establishment of a Free Trade Area (FTA) between India and MERCOSUR. To further strengthen their efforts to establish the FTA, both concluded a follow up of the Framework Agreement in the form of a Preferential Trade Agreement in New Delhi, in January 2004.

Further, the five Annexes of the PTA have been signed in New Delhi, in March 2005. However, as far as India is concerned the PTA is not much lucrative as the Regional Trade Agreements (RTAs) that have been concluded between MERCOSUR and Andean Community*. Yet India should move ahead with the economic cooperation with MERCOSUR as developing ties with Latin American countries will enhance South-South cooperation and definitely will increase market opportunities for emerging India.